Analyst Reflection: ExxonMobil or Chevron When the War Premium Fades

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1 HOW I USED AI

I used Claude (Anthropic), a general-purpose assistant, running in a coding environment with web search and Python. It was not a finance-specific product. It suggested the ExxonMobil versus Chevron scope, searched for current data (its built-in knowledge stopped before the period I analyzed), wrote and ran the Python scenario model and charts, and drafted most of the report text. I want to be plain about that last point: the AI wrote most of the prose. My role was deciding at the points where the analysis could go different ways, checking the numbers the conclusion depends on, and choosing the recommendation I was willing to sign.

2 WHERE I PUSHED BACK

Choosing the baseline. The tool's first pass worked from the latest quarter, but Q2 2026 cash flow was about $19 billion (Exxon) and $24 billion (Chevron) a year higher than oil prices alone explain. Of the options it laid out, I rejected company guidance because Chevron's sub-$50 breakeven claim is what the report needed to test, not assume, and I rejected the Q2 run rate because it treats wartime refining margins as permanent. I chose 2025 results plus a Hess adjustment.

Challenging the draft. After the first draft I had the AI list the weakest points it could see, and I made the call on each. The most important was Figure 2. It compared Exxon's breakeven with a $20 billion buyback against Chevron's with a $10 billion buyback, but those are 2.8% and 2.3% of market value. The smaller Chevron program made the two companies look closer than they are. I had the model test both at the same 2.8%, and Chevron's breakeven rose from $79 to $82, against $77 for Exxon. I also would not let one EIA number stand as “the” peace price, because the EIA raised its fourth quarter forecast by $14 in a single month. The report now calls $74 one input and leans on the bracketing scenarios. The Hess adjustment used a $0.10 billion per $1 sensitivity the AI had simply assumed. I kept it but required the report to flag it and show that zero or double moves Chevron's breakevens by only about $1. Finally, I kept Exxon's Middle

East recovery central despite the damaged Qatar trains, because peace implies an eventual restart and the risk section already shows what happens if it never comes (Exxon's yield at $74 falls to 4.4%).

[[FILL: Optional: if a spot-check turned up a mismatch, add 2 to 3 sentences here on what the summary said, what the source said, and what changed. Otherwise delete this line.]]

3 HOW I IMPROVED THE WORK

The question changed. I started with a generic "which major is better" comparison. The first data pulls showed Brent averaging $114 in September because of the Iran conflict, and the EIA forecasting a fall to $74 by late 2027. That turned the question into which company still earns its share price after the war premium fades.

A better metric replaced a misleading one. Annualized quarterly cash flow became a normalized model, and Chevron's apparent valuation discount disappeared: both stocks yield about 4.9% at $74.

Fairness fixes. I added the missing months of Hess for Chevron (+$2.9 billion), modeled Exxon's Middle East output returning in peace, and stress-tested the case where it does not. I also corrected a label that called Exxon's sensitivity an after-tax cash flow figure, which its source does not support.

4 WHAT I VERIFIED

Verification mattered more than usual here, because the AI tool could not open SEC filings, EIA pages or company websites from its environment. Every figure reached it through search engine summaries, and those summaries sometimes disagreed. For example, Chevron's 2025 operating cash flow came back as both $33.9 billion and $34.9 billion. Chevron's Q2 free cash flow appeared as both $15.4 billion (company-adjusted) and $18.1 billion, and its market value ranged from $405 billion to $427 billion depending on the site. Q2 Brent was $104.40 (World Bank) or $102.93 (EIA), too small a gap to matter.

Every derived number was recomputed in code rather than typed by hand: market values from share counts implied by each company's reported EPS, free cash flow, and breakevens. I then checked the inputs the conclusion depends on most against the original documents:

[[FILL: List each spot-check you did (1 to 6 from SPOT_CHECKS.md): the number, the source you opened, and whether it matched. Give at least one in full detail: why it mattered, how you checked it, and what you found.]]

5 THE AI TOOL'S WEAKNESSES

Out-of-date knowledge presented confidently. When I picked the topic, the tool described the comparison as having "one dominant driver (oil price)" and did not know a war had pushed Brent above $100. I noticed this when the first search showed September Brent at $114. It mattered because the original framing would have produced a stale report. The fix was a rule that every current fact must come from a dated 2026 source. That worked for facts, but the tool's framing still reflected its older picture of the industry until the data forced a rethink.

No access to primary sources. The tool's environment blocked the SEC, EIA and company sites, so it worked from search summaries that conflicted, mixed up table columns, and sometimes cited secondary blogs. It flagged some conflicts but still built clean-looking tables from them. I gave priority to company-reported definitions, derived market values myself, and checked the key inputs by hand. That reduced the risk without removing it.

Treating a recent quarter as representative. Its first instinct was to annualize Q2 2026, overstating normal cash flow by roughly a quarter (Section 2). The normalized model fixed this but swapped in a different assumption (Section 7).

False precision. The model reports breakevens like "$62" to the dollar, but Chevron's figure depends partly on a Hess oil price sensitivity of $0.10 billion per $1 that the tool assumed and could not source. The report says a $1 billion error moves a breakeven by $1.40 to $1.70, so readers can see how soft those figures are.

6 WHERE MY THINKING CHANGED

I expected this to be a valuation contest that the cheaper stock would win. On headline numbers Chevron looked cheaper: a higher dividend yield, a slightly lower forward P/E, and more Q2 cash flow per dollar of market value. Normalizing the cash flows removed that discount. The deciding factor turned out to be one I had not thought about at all: Exxon's Middle East exposure. During the war it is a liability, since about 10% of upstream output was offline. In a peace scenario it works as a hedge, because production returns just as prices

fall. I also came to see the recommendation as a relative call rather than a reason to buy energy.

7 WHAT REMAINS UNCERTAIN

I have the least confidence in the 2025 baseline. It treats 2025 as normal and ignores both companies' growth since then, apart from Hess. That penalizes Chevron in particular, because its Tengiz expansion was ramping up during 2025. It is the most likely reason my Chevron breakeven ($62) is so far above management's sub-$50 claim. If the real figure is closer to $50, Chevron becomes the better value and my recommendation flips. The next step is the late October third quarter reports. I would take Chevron's Q3 operating cash flow, back out the oil price effect using its $0.60 billion sensitivity, and see whether the implied normal level is well above my $36.8 billion. I would also look for refining margin data, to see how much of the 2026 windfall came from refining rather than crude.

8 WOULD I STAND BEHIND THIS REPORT?

Yes, as a relative call. I would defend “prefer Exxon over Chevron for an investor who wants integrated oil exposure while the war premium fades,” because it rests on findings that do not depend on a precise oil forecast: Exxon's lower sensitivity per dollar of market value, its ability to cover the dividend at $60, and its Middle East volumes coming back. I would not put my name on a broader “buy energy now” call. Both stocks have rallied on cash flows the EIA expects to be temporary, and at $74 oil neither generates enough free cash flow to fund its current buyback. Before committing real capital I would also want the third quarter results in hand and every input in Table 1 checked against the original filing, not just the ones I spot-checked.